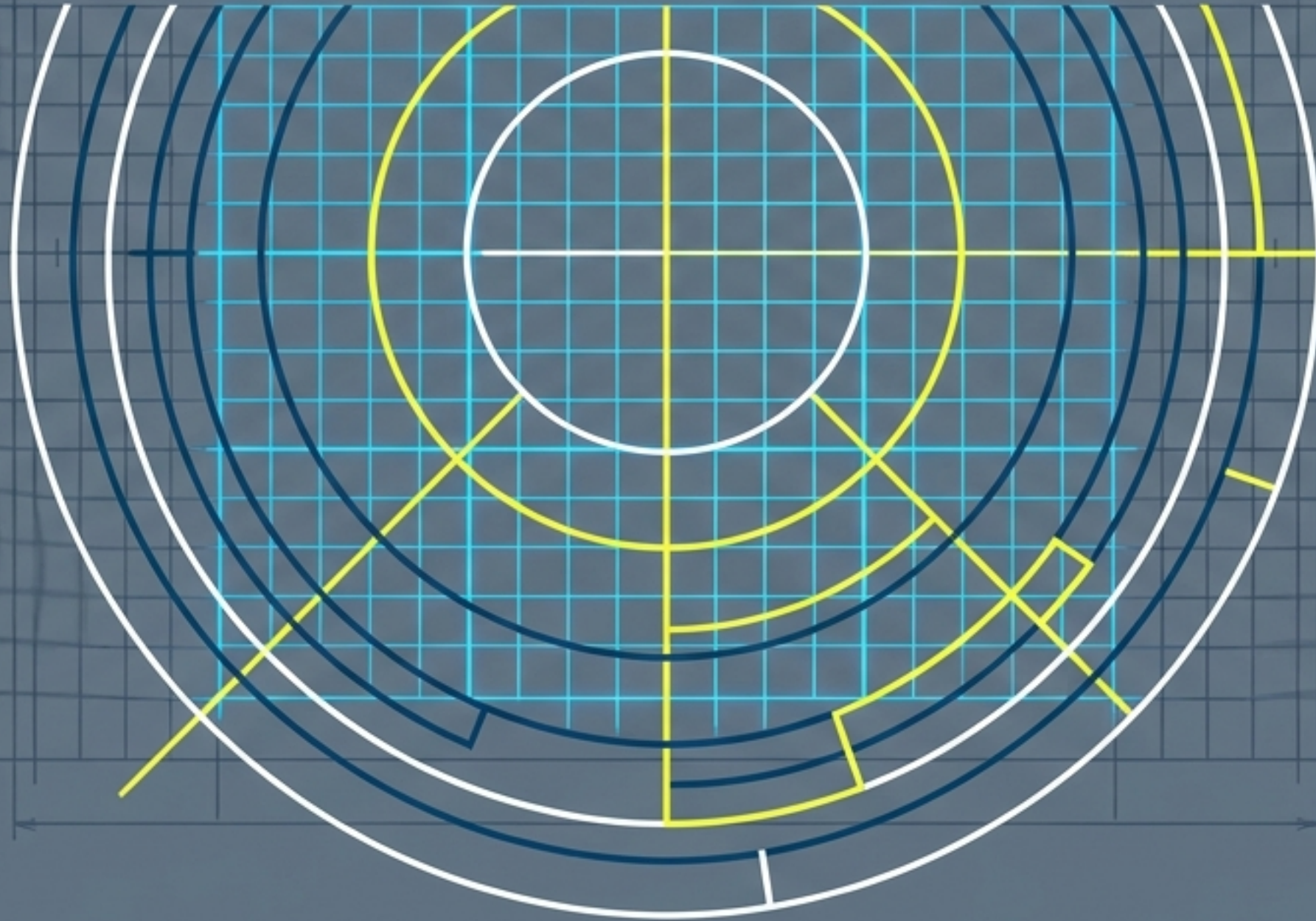


THE EMPIRICAL LENS

Dismantling Development Dogmas: Hard Evidence on
Microcredit and Poverty Traps from **Mexico**



A synthesis of findings from Angelucci, Karlan, & Zinman (2015) and Antman & McKenzie (2007)



The Miracle

The Nobel Promise:
Microcredit triggers
transformative structural
jumps in income, ending
poverty.



The Catastrophe

The Media Panic:
High-interest microcredit
creates inescapable debt
traps and catastrophic
asset fire-sales.



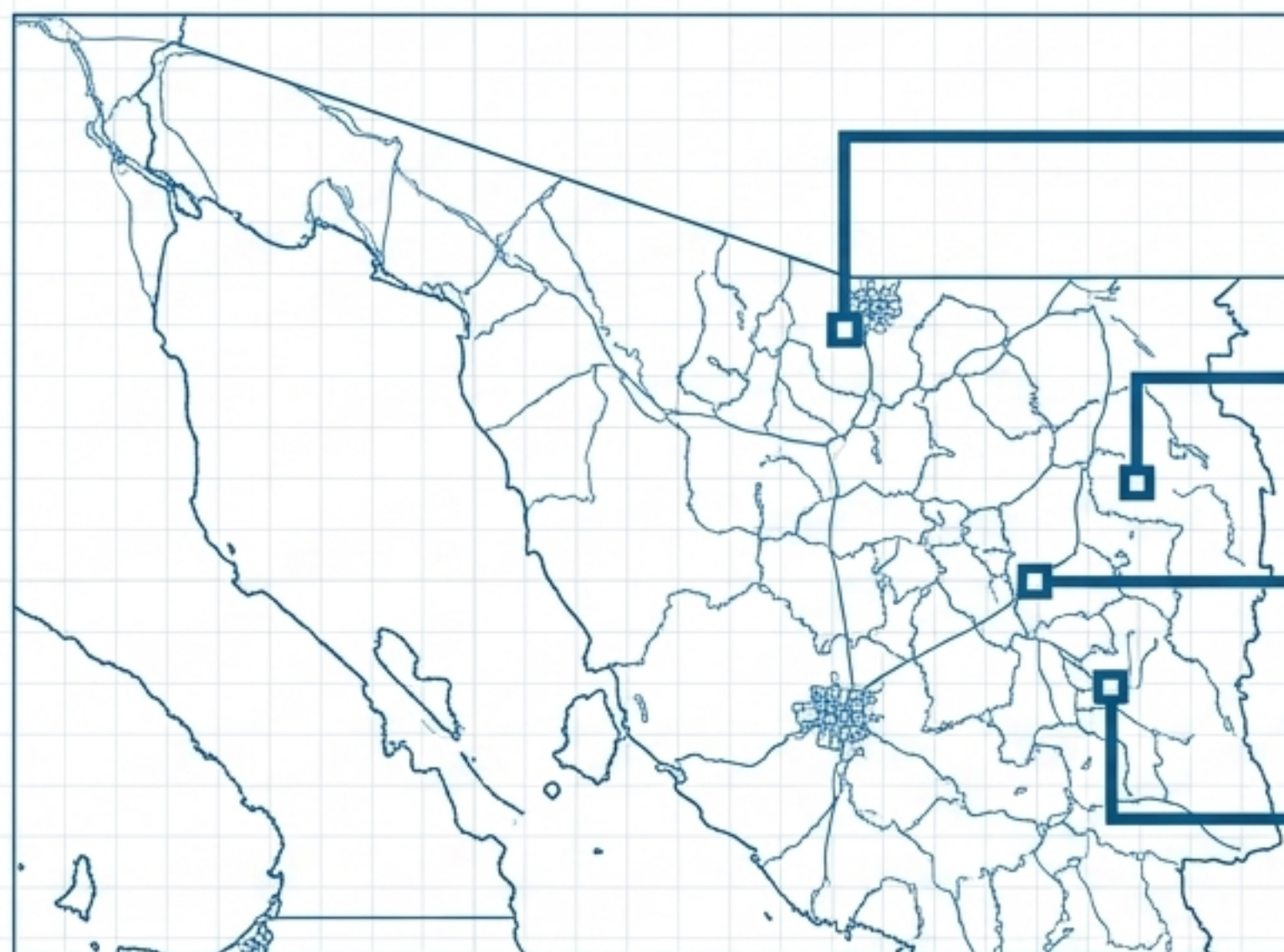
The Inescapable Threshold

The Poverty Trap:
Below a specific capital
threshold, gravity pulls the poor
down to zero; a massive "big
push" is required to escape.

The Data: None of these are entirely true.

Domain	The Promise (Transformative Growth)	The Fear (Catastrophic Overborrowing)	The Empirical Reality (Compartamos RCT)
Business	Explosion of new micro-enterprises and massive profits	Crushing debt from failed ventures	Modest expansion of existing businesses; no profit jumps.
Income & Wealth	Vaulting over the poverty line	Spiraling net worth	No transformative income jump; total income remains flat.
Social Well-being	Total female emancipation and happiness	High stress and domestic conflict	Slight empowerment in financial decisions; modest drop in depression.
Debt Dynamics	Seamless repayment and graduation	Asset fire-sales to service 110% APR debt	No debt spiral; actual reduction in the need to sell assets in emergencies.

The Ultimate Stress Test: Compartamos Banco



The Environment: 238 geographic clusters in North-Central Sonora, Mexico. Clustered randomized trial.

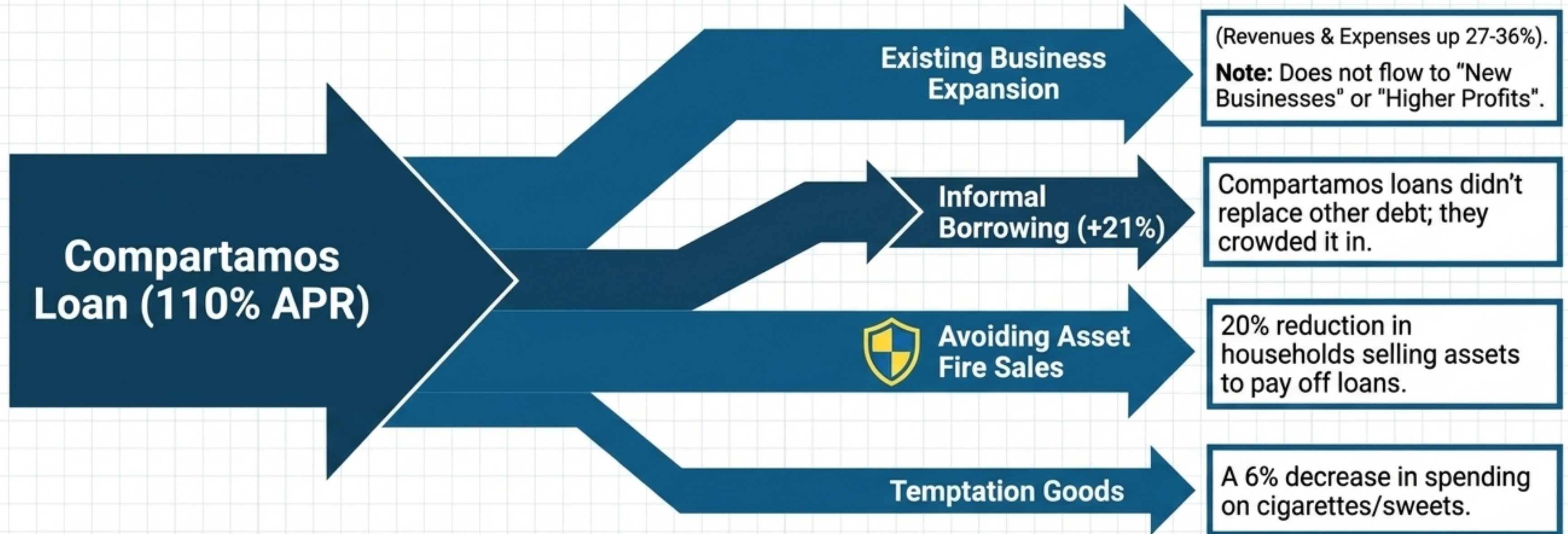
The Scale: 16,560 potential borrower households surveyed.

The Catalyst: “Crédito Mujer” – A group-lending microloan.

The Rate: 110% APR. Market rate for the region, but high enough that “debt trap” fears are highly plausible.

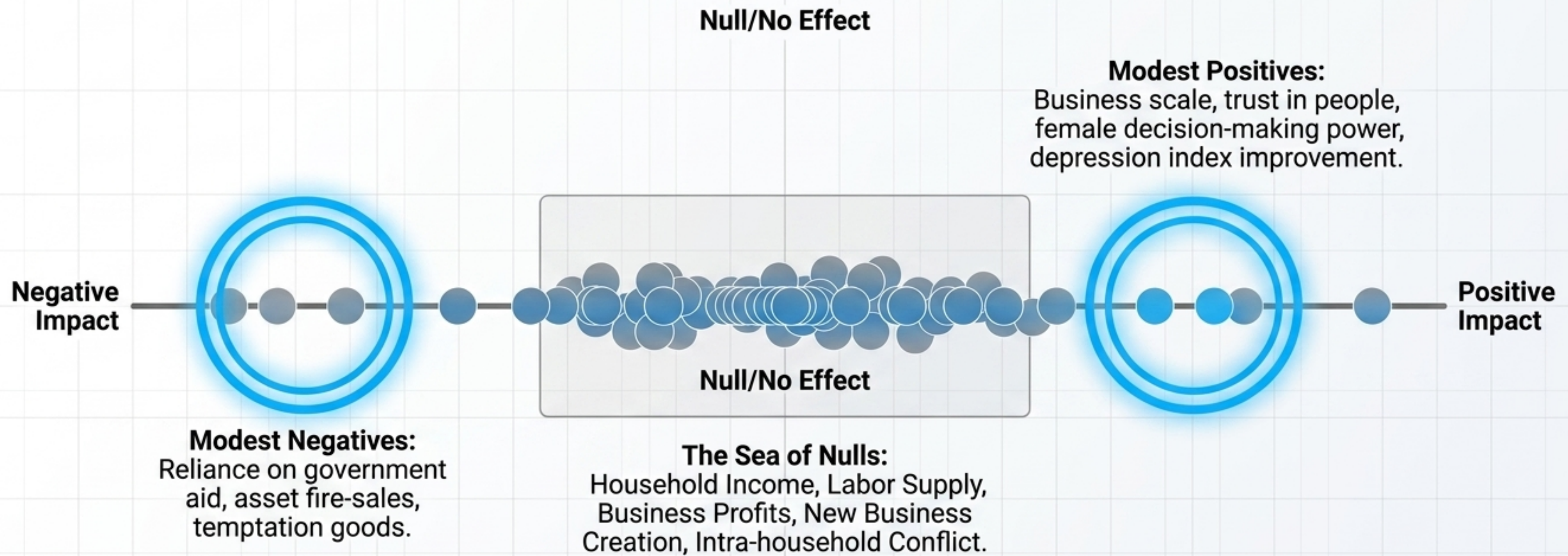


The Empirical Reality: Compartamos Loan Flow (Sankey Diagram)



The loan didn't generate pure profit; it financed lumpy investments and acted as an expensive risk-management tool.

The Impact Spectrum: A Sea of Nulls with Modest Ripples



Matrix 2: Theoretical Traps vs. Urban Realities

The Theory

Models:

Dasgupta/Ray
(Nutrition/Productivity),
Galor/Zeira (Indivisible Education),
Banerjee/Newman (Lumpy Capital).

The Mechanic:

Extreme non-convexity. If you cannot afford the minimum indivisible investment, your trajectory bends downward.

The Mexican Reality

The Context:

Urban Mexico (ENEU Labor Force Survey).

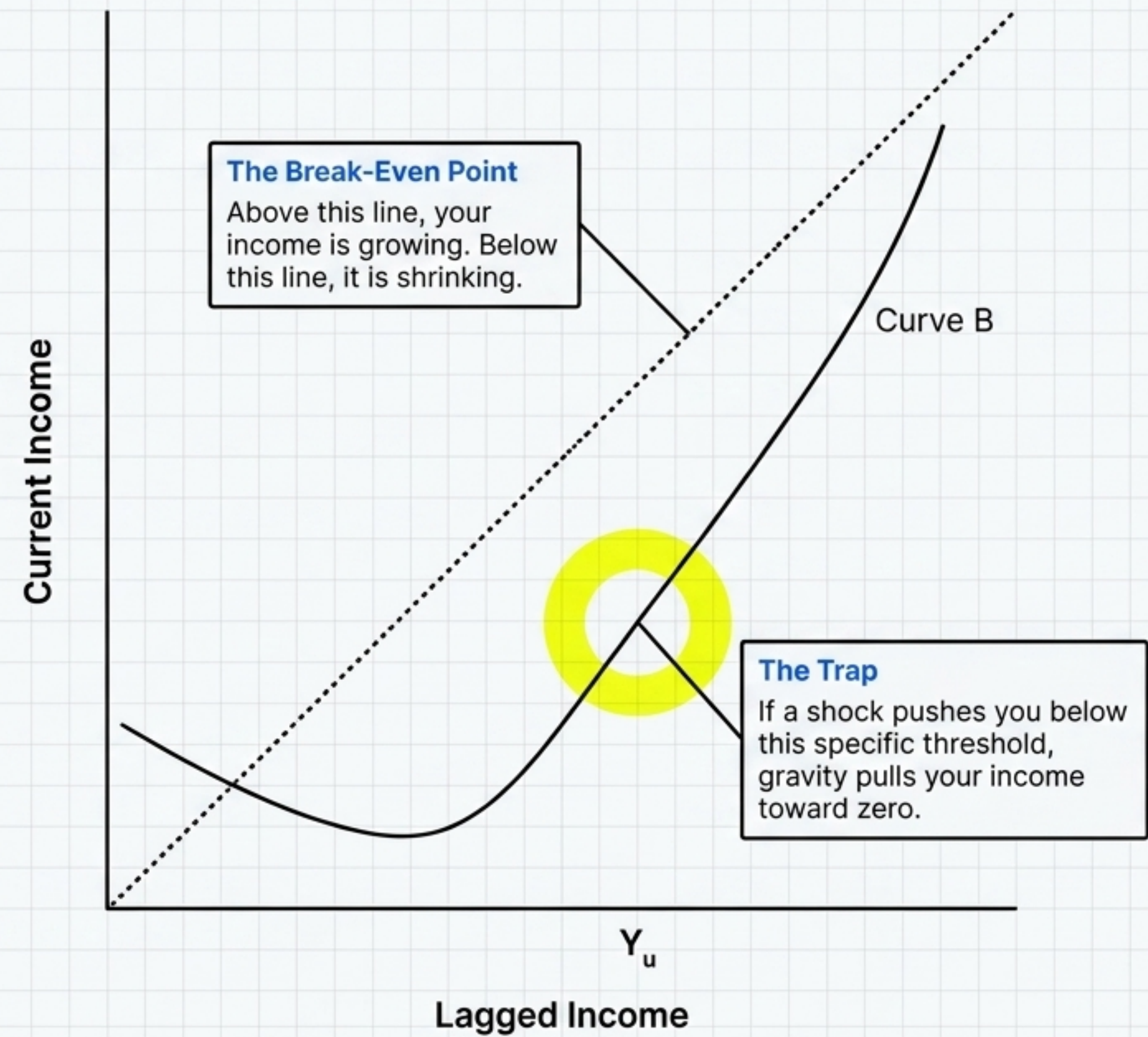
The Finding:

No evidence of absolute poverty traps for any group.

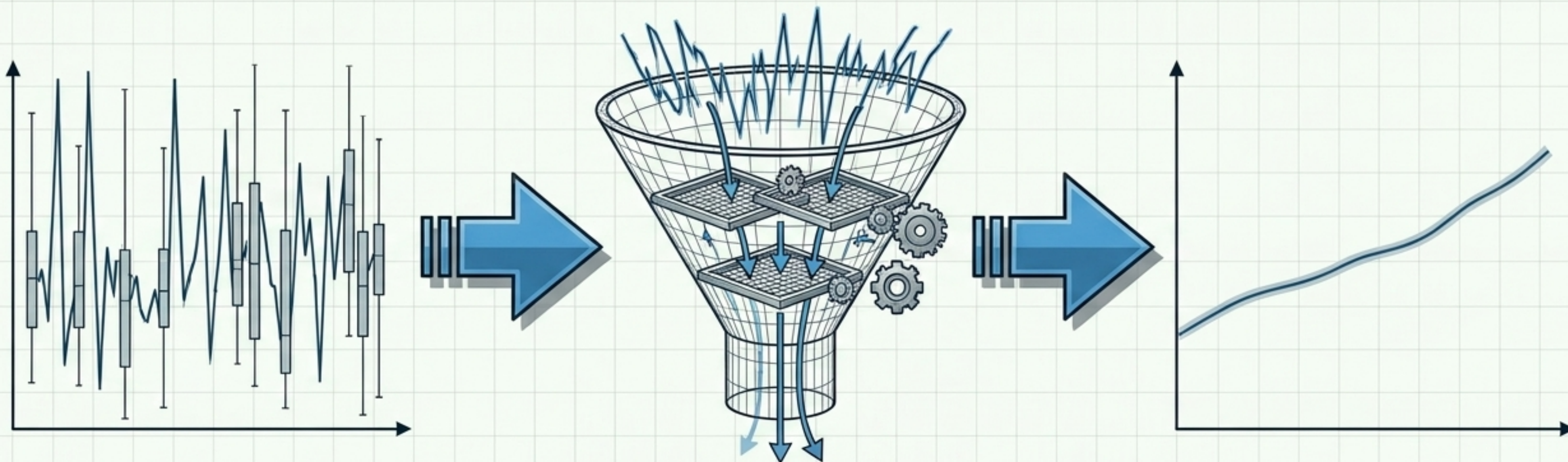
The Twist:

Why did short-term data suggest traps existed? Measurement Error.

Matrix 3: The Mechanics of a Poverty Trap



Matrix 4: The Data Engine – Filtering the Noise.



The Raw Input (Short Panels):

Tracking individuals over 5 quarters shows wild income swings. This looks like people falling into traps, but it's heavily distorted by reporting errors.

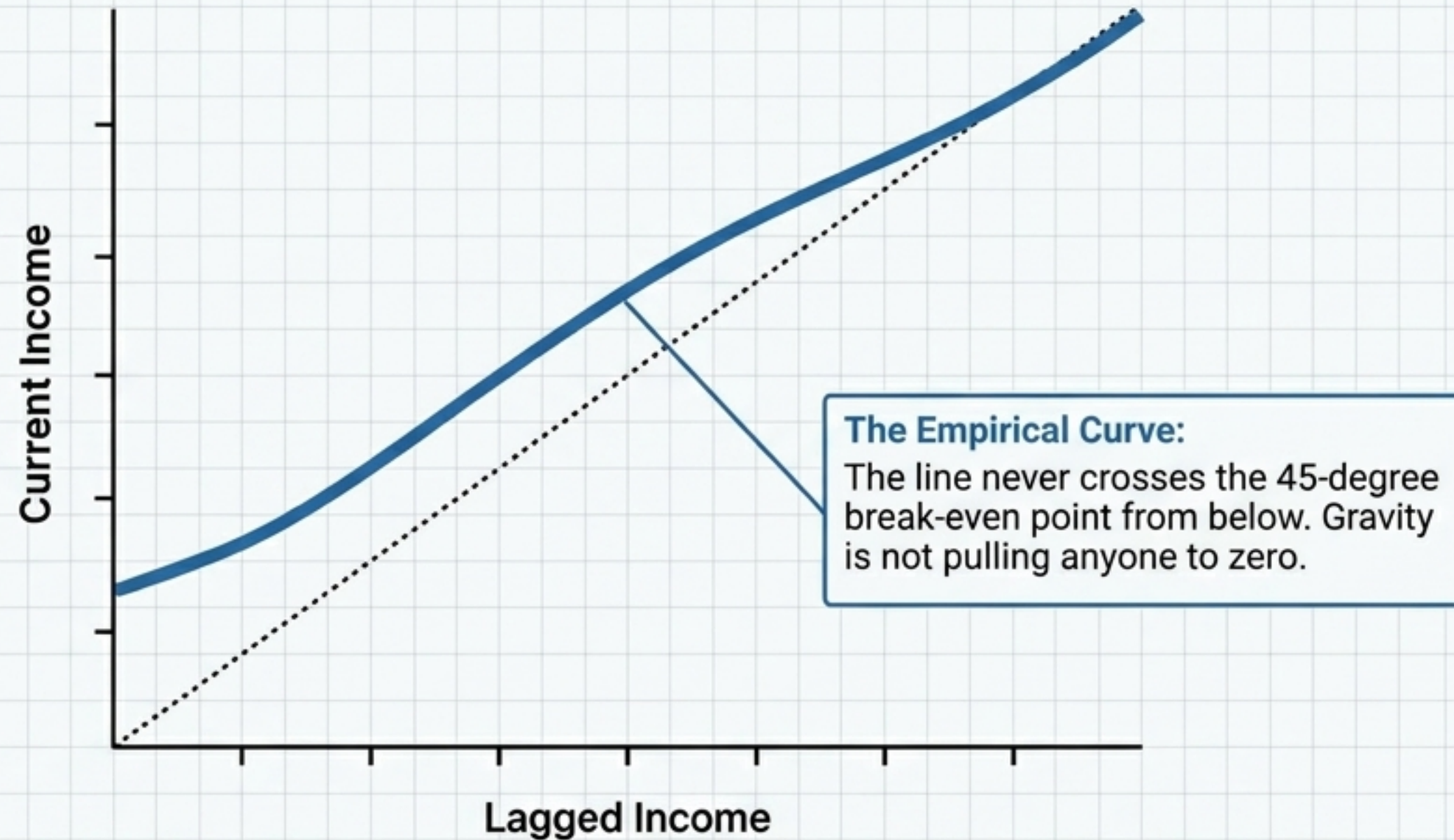
The Filter (Pseudo-Panels):

Instead of tracking individuals who might misreport or move, researchers track cohorts (e.g., individuals born 1960-64 with primary education) over 58 quarters (1987-2001).

The True Trajectory:

Averaging out the individual measurement errors reveals the true underlying income dynamics.

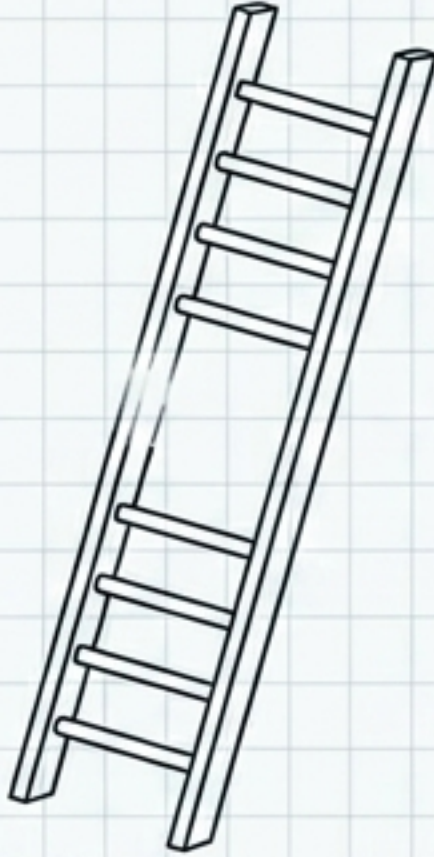
Matrix 5: The Empirical Reality – Gravity Has No Grip.



Even accounting for individual heterogeneity and correcting for measurement error, there is zero evidence of a threshold-based poverty trap.

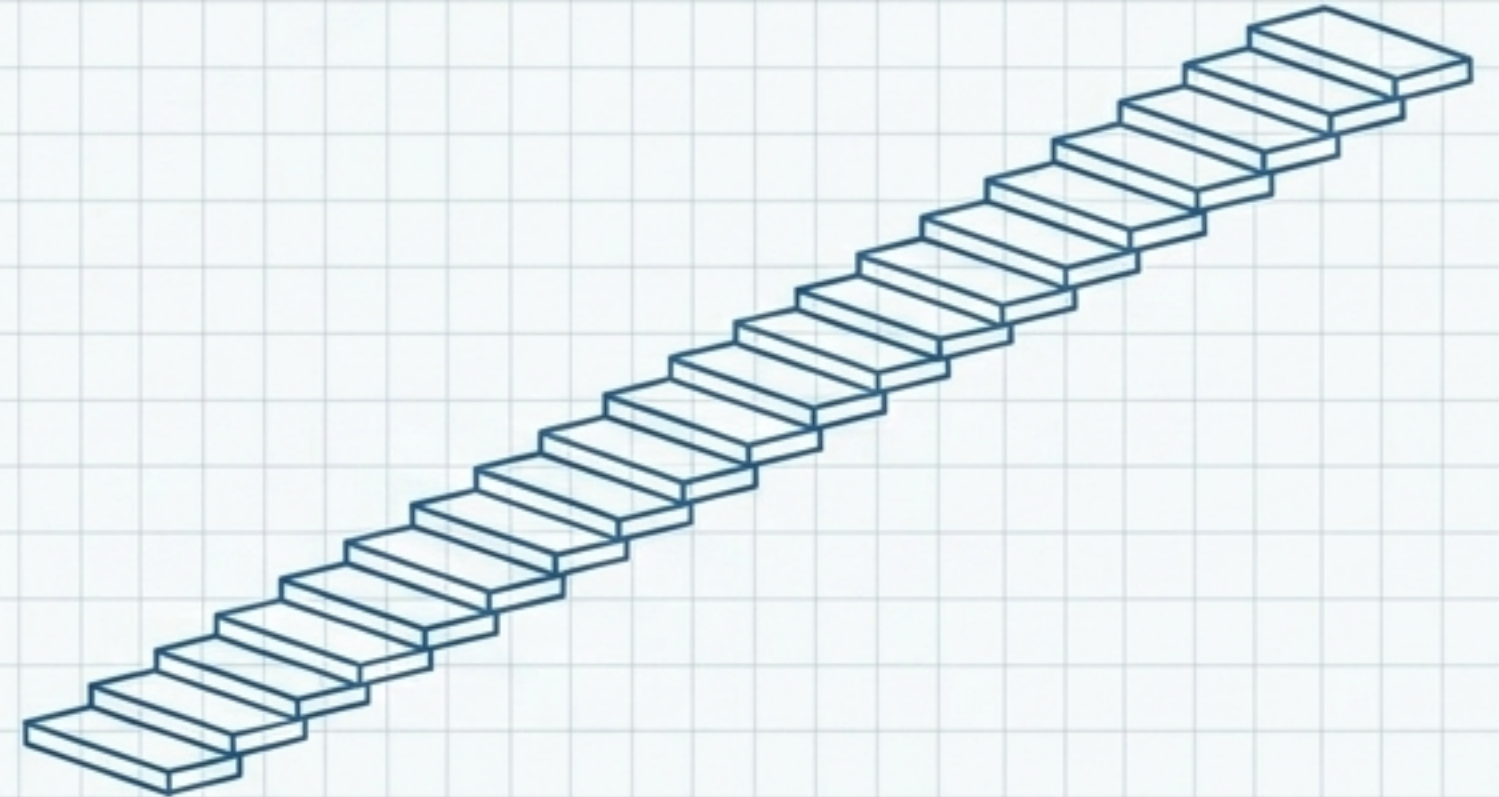
The Myth of the Leap vs. The Reality of the Climb

The Myth: The Leap



Driven by the belief in Poverty Traps (a structural chasm) and Microcredit Miracles (a springboard). It assumes development requires a single, massive threshold jump.

The Reality: The Climb



Poverty alleviation in this context is not about triggering a massive structural jump. It is about **facilitating relentless, incremental accumulation.**

Driven by the data. The absence of a poverty trap means the path upward is open (no threshold chasm). However, the modest effects of microloans mean the vehicle moves slowly.

Strategic Implications for Resource Allocation

1 Stop Searching for Silver Bullets:

Microcredit is a valuable financial utility for consumption smoothing and marginal growth, not a macroeconomic transformative miracle. Evaluate it on utility, not salvation.

2 Ignore the "Debt Trap" Panic:

The data shows 110% APR loans did not trigger widespread asset fire-sales or psychological destruction; they actually helped avoid distress sales. Poor households are sophisticated risk managers.

3 Fund the Long Climb:

Because absolute poverty traps don't exist here, investments don't need to meet massive "big push" thresholds to be effective. Small, Small, sustained interventions that reduce friction and support incremental mobility will compound over time.

Even accounting for individual heterogeneity and correcting for measurement error, there is zero evidence of a threshold-based poverty trap.